

Worked example - one company throughout

Revenue **£500,000** · Gross profit **£200,000** · Operating profit **£75,000** · Capital employed **£600,000** · Current assets **£120,000** · Current liabilities **£80,000** · Long-term debt **£240,000**

Gross profit margin

Formula: Gross profit / Revenue x 100

Shows: How much of each £1 of sales is left after the cost of making the goods.

Good direction: Higher is better.

Worked: $200,000 / 500,000 \times 100 = 40\%$

Operating profit margin

Formula: Operating profit / Revenue x 100

Shows: Profit left after the day-to-day running costs too.

Good direction: Higher is better.

Worked: $75,000 / 500,000 \times 100 = 15\%$

ROCE

Formula: Operating profit / Capital employed x 100

Shows: The return earned on the money invested in the business.

Good direction: Higher is better - beat the interest rate.

Worked: $75,000 / 600,000 \times 100 = 12.5\%$

Current ratio

Formula: Current assets / Current liabilities

Shows: Can the firm pay its short-term debts?

Good direction: About 1.5-2 : 1 is healthy.

Worked: $120,000 / 80,000 = 1.5 : 1$

Gearing

Formula: Non-current liabilities / Capital employed x 100

Shows: How reliant the business is on borrowing.

Good direction: Under ~50% = lower risk.

Worked: $240,000 / 600,000 \times 100 = 40\%$

Reading a ratio

Never quote a ratio on its own - compare it to last year, a rival, or the industry. A 15% margin means little by itself; rising from 12% to 15% is the story examiners want.

Watch out

ROCE uses operating profit, not net profit. The current ratio is written X : 1, not a %. Gearing above ~50% means heavy reliance on debt - risky if interest rates rise.